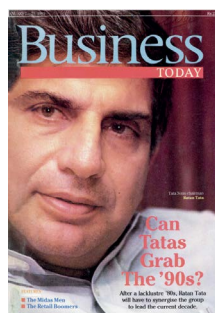
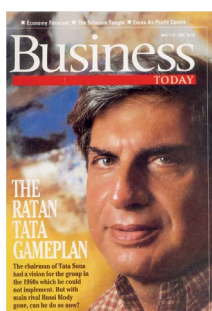


BT WITH RATAN TATA

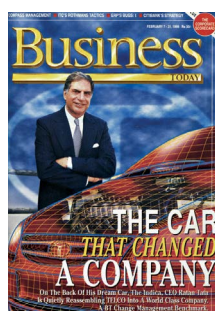
The late tycoon was featured multiple times on the cover of *Business Today* over the years



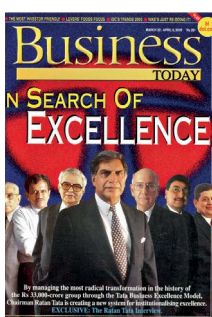
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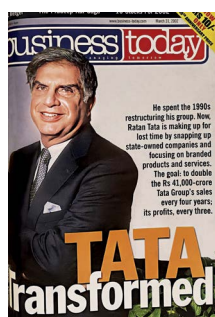
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▲ 5 JAN 2003



▲ 21 SEP 2008

Mody of Tata Steel, Tata Chemicals' Darbari Seth, and Indian Hotels' Ajit Kerkar—refused to accept his leadership. It was a very different situation from when J.R.D. was in charge. “He was a statesman to the satraps, and their loyalty to JRD was viewed as loyalty to the Tata group,” says an executive from that era. Besides, the group had several disparate companies running their businesses almost in isolation. “These were created at a different time, and it seemed logical for the successor to create an integrated entity.”

For example, Tata Steel had a cement plant since it threw up slag, a vital raw material. But there it was in competition with group firm ACC, which was the second-biggest company in that sector at the time. “The satraps had their own jurisdiction and were very happy that way,” the person says.

The lack of cohesion was, perhaps, most plainly visible in the Tata logo. There was a group logo, but it had several versions depending on the company using it. RNT, who was 53 when he took over, knew an overhaul was needed.

“By all accounts, there was no personal animosity between Ratan Tata and the satraps. The fact is that all the Tata firms had to be consolidated under a common brand name and values,” says Sonu Bhasin, an independent director, family business historian, and author.

The satraps were extremely competent but had their own sets of rules. The situation had to be rectified. “Slowly, each of the satraps was removed—Mody through a retirement policy, followed by Seth, who stepped down voluntarily, while Kerkar was voted out by the board.” That strengthened RNT's hold on the group. He also increased Tata Sons' holding in various group companies—it was less than 3% in Tata Steel and Tata Motors when he took charge.

RNT took over at a time when the Indian economy was in a deep crisis. Just as the country began to set its house in order and dealt with the balance of payments crisis, so did RNT in resetting the balance of power within the group.

Part of that process was taking several hard decisions. Tata Oil Mills Company (TOMCO)—with brands like Hamam, Moti, 501, and OK—was sold to Hindustan Unilever. Likewise, ACC was sold to Gujarat Ambuja. The group sold its stake in Goodlass Nerolac to Kansai Paint Co. of Japan and exited from the computer hardware business.

Jitender Balakrishnan, a former director on the board of Tata Steel, says RNT was a “risk-taker,” but only if he was convinced. RNT was deeply driven by the dream of every company in the Tata group having a global presence, adds Balakrishnan.